

Baid Finserv Limited

October 09, 2026

Facilities/Instruments	Name of the Regulator ¹	Amount (₹ crore)	Rating ²	Rating Action
Long Term / Short Term Bank Facilities	RBI	305.00	CARE BBB; Stable / CARE A3	Reaffirmed; Outlook revised from Positive

Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

Rating reaffirmation to Baid Finserv Limited's (BFL) bank facilities continue to derive strength from BFL's experienced promoter group, demonstrated ability to profitably scale operations, comfortable capitalisation levels and adequate liquidity profile. The company reported healthy growth in its business franchise with AUM increasing by 20.3% to ₹477 crore as on March 31, 2026 from ₹396 crore a year earlier and remained steady at ₹473 crore as on June 30, 2026 on account of moderation in MSME disbursements, although supported by gold loans.

However, these strengths are partly offset by product and geographic concentration, moderately seasoned loan book, and asset quality pressures due to exposure to a relatively vulnerable borrower segment—reflecting industry-wide trends of overleveraging and rapid growth. The revision in outlook from 'Positive' to 'Stable' reflects the moderation witnessed in asset quality and collection efficiency in the recent quarters.

Going forward, the company's ability to raise additional equity capital, improvement in the asset quality and maintaining adequate liquidity buffers shall continue to be key monitorable.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Substantial and granular loan portfolio growth while maintaining stable asset quality with net non-performing assets (NNPA) of less than 2%.
- Maintaining stable profitability metrics with return on total assets (ROTA) above 2% on a sustained basis.
- Significant improvement in the net worth position to fund future growth.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Deterioration in the asset quality with gross non-performing assets (GNPA) remaining above 4% on a sustained basis.
- Delay in equity infusion plans; with overall gearing remaining over 3x on a sustained basis.
- Inability to scale up its business operations on a sustained basis.

Analytical approach: Standalone

Outlook: Stable

The outlook has been revised from "Positive" to "Stable" due to asset quality and collection efficiency pressures witnessed in recent quarters. The "Stable" outlook reflects expectations of continued portfolio growth, supported by the company's expansion across both existing and new geographies.

Detailed description of key rating drivers

Key strengths

Experienced promoters with established lending track record

The company benefits from the extensive experience of its promoter family in the lending business and a demonstrated track record of building and managing a granular secured lending franchise. The promoters remain actively involved in key strategic, credit and operational decisions and are supported by an experienced management team.

¹SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority

²Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Healthy growth in business franchise while maintaining profitability

The company reported strong business growth during FY26, with disbursements increasing by 35% to ₹243.8 crore from ₹180.5 crore in FY25. Consequently, the AUM increased by 20.3% to ₹477 crore as on March 31, 2026, from ₹396 crore a year earlier and remained steady at ₹473 crore as on June 30, 2026, on account of moderation in MSME disbursements, although supported by gold loans.

Net Interest Margin (NIM) for the company improved from 8.60% in FY25 to 9.38% in FY26, and further to 10.04% in Q1FY27, mainly on account of reduction in gearing levels, along with marginal improvement in yield. The credit cost for the company was higher during FY26 and Q1FY27, on account of write-offs aggregating to ₹6.56 crore and ₹2.72 crore, respectively. Despite high credit cost, the profitability of the company continued to be robust with ROTA of 3.02% for FY26 (3.06% for FY25) and 3.20% for Q1FY27 (annualised).

CareEdge Ratings expects BFL's ROTA to maintain in the range of 3x to 3.5x in the medium term supported by the healthy growth momentum.

Comfortable capitalisation and financial flexibility

The company's capital position strengthened during FY26, supported by promoter-led warrant subscription of ~₹18 crore, rights issue of ~₹30 crore in December 2025 and internal accrual generation. Adjusted tangible net worth increased to ₹232.53 crore as on March 31, 2026, from ₹178.85 crore as on March 31, 2025, and further increased to ₹236.88 crore as on June 30, 2026. Capitalisation remains comfortably above regulatory requirements, with CAR and Tier-I CAR of 47.12% and 45.04%, respectively, as on June 30, 2026. The strong capital base provides sufficient headroom to support the company's medium-term growth plans. The overall debt-to-equity ratio also improved to 1.23x as on March 31, 2026, from 1.43x as on March 31, 2025 (1.21x as on June 30, 2026).

As on June 30, 2026, BFL's resource profile is diversified with funding share from public sector banks at 33.98% (March 2026: 35.21% and March 2025: 25.20%), private banks at 33.56% (March 2026: 28.59% and March 2025: 17.20%), non-banking finance companies (NBFCs) at 23.05% (March 2026: 29.29% and March 2025: 48.00%), small finance banks at 9.26% (March 2026: 6.77% and March 2025: 9.20%), and others at 0.14% (March 2026: 0.14% and March 2025: 0.40%). Borrowings have progressively shifted towards large private-sector and public sector banks for cost and tenure advantage.

CareEdge Ratings expects that BFL will continue to have comfortable capital structure in the near-to-medium term. Any delay in raising the planned equity would affect business growth and hence would remain a key monitorable.

Key weaknesses

Moderate asset quality and exposure to relatively riskier borrower segment

The company primarily caters to small traders, farmers, and small business owners. These economically vulnerable customer segments generally exhibit higher sensitivity to economic disruptions, significantly affecting their repayment capacity, considering borrower overleveraging.

Company had recognised NPA at 150+dpd for FY24, 120+dpd for FY25 and has transitioned to NPA recognition at 90+dpd from April 2025 onwards. While reported GNPA and NNPA remained stable at 2.66% and 0.39% respectively as on March 31, 2026 (PY: 2.73% and 0.29%), despite the tighter recognition norms, the asset quality performance benefitted from significant portfolio clean-up measures, including write-offs of ₹6.56 crore and sale of stressed assets amounting to ₹5.06 crore to asset reconstruction company (ARC) during FY26. Additionally, the company undertook further write-offs of ~₹2.72 crore during Q1FY27 with reported GNPA and NNPA at 2.72% and 0.41% respectively as on June 30, 2026.

With a majority of BFL's portfolio being secured in nature through property mortgages (SORP/SOCP), vehicle and gold, the company benefits from reduced loss risk in case of delinquencies compared to unsecured lending. Nevertheless, the repayment behaviour is influenced by broader economic stress.

Given the higher slippages witnessed during FY26 amidst portfolio seasoning and exposure to relatively vulnerable borrower segments, BFL's ability to maintain asset quality with adequate provisioning cover will remain a key monitorable.

Moderate, albeit improving product and geographical concentration

BFL's loan portfolio is concentrated with MSME financing dominating the mix at 63% as on June 30, 2026 (March 31, 2026: 64% and March 31, 2025: 67%), followed by vehicle financing at 25% (March 31, 2026: 27% and March 31, 2025: 33%), business

loan at 8% (March 31, 2026: 8% and March 31, 2025: 0%) and gold loan at 4% (March 31, 2026: 1% and March 31, 2025: 0%). The company has diversified its product segments, by entering business loan (wholesale) segment in Q1FY26 and gold loan segment in Q4FY26.

As on June 30, 2026, BFL has presence in the states of Rajasthan (75.39%), Madhya Pradesh (16.03%), Delhi NCR (4.25%), Gujarat (3.92%) and Maharashtra (0.41%), with expansion into Maharashtra and Delhi NCR markets during FY26.

While CareEdge Ratings notes BFL's diversification efforts in the recent quarters, the company's ability to keep asset quality under control and successfully scale operations across newer markets while maintaining underwriting discipline shall remain a key monitorable.

Liquidity: Adequate

As on June 30, 2026, the company had adequate liquidity with no cumulative mismatches across all time buckets. CareEdge Ratings takes note of BFL's liquidity policy, which ensures that the company maintains sufficient cash reserves to cover at least three months of operating expenses and debt obligations. BFL reported cash and cash equivalent (unencumbered) of ₹28.79 crore as on June 30, 2026, and receivable from loan book (including interest) of ₹213.60 crore against the debt repayment obligation (including interest) of ₹159.80 crore for the next one year. The company also had unutilised bank lines of ₹37.29 crore as on June 30, 2026, as an additional cushion to the liquidity.

The company's ratings do not factor in any rating-related trigger clauses as per the terms of the facilities/instruments, which may involve acceleration of payments in case of rating downgrades.

Assumptions/Covenants: Not applicable

Environment, social, and governance (ESG) risks: Not applicable

Applicable criteria

[Definition of Default](#)

[Rating Outlook and Rating Watch](#)

[Financial Ratios - Financial Sector](#)

[Short Term Instruments](#)

[Non Banking Financial Companies](#)

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial Services	Financial Services	Finance	Other Financial Services

Baid Finserv Limited (BFL) is a Jaipur-based NBFC, established in 1991 and registered with RBI since 1998. It offers LAP, SME, vehicle loans, business loans and gold loans. BFL started LAP/SME loans in 2015, and its AUM stood at ₹473.23 crore as on June 30, 2026. The company is classified under RBI's "Base Layer" as per 2023 regulations.

Brief Financials (₹ crore)	31-03-2025	31-03-2026	Q1FY27
	A	A	UA
Total income	82.55	99.19	22.05
Profit after tax (PAT)	13.45	14.97	4.34
Assets under management (AUM)	396.26	476.89	473.23
On-book gearing (x)	1.43	1.23	1.21
AUM / tangible net-worth (TNW) (x)	2.22	2.05	2.00
Gross non-performing assets (NPA) / gross stage 3 (%)	2.73	2.66	2.72
Return on managed assets (ROMA) (%)	3.02	2.99	3.20
Capital adequacy ratio (CAR) (%)	43.69	47.53	47.12

A: Audited; UA: Unaudited; Note: these are latest available financial results

Status of non-cooperation with previous CRA: Not applicable

Any other information: Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of the regulators:

A list of facilities / instruments falling under the purview of various financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Fund-based-LT/ST	RBI	NA	-	-	-	28-03-2029	305.00	CARE BBB; Stable / CARE A3

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Fund-based-LT/ST	LT/ST	305.00	CARE BBB; Stable / CARE A3	-	1)CARE BBB; Positive / CARE A3 (09-Oct-25)	1)CARE BBB; Stable / CARE A3 (01-Oct-24)	1)CARE BBB; Stable / CARE A3 (04-Oct-23)

LT: Long term; ST: Short term; LT/ST: Long term/Short term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities: Not applicable

Annexure-4: Lender details

To view lender-wise details of bank facilities please [click here](#)

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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